

OBDC pitch deck

Live-tape check attempted and denied (search_contracts permission not granted) — that's the third consecutive session with no independent price, and it's flagged in the deck below. Report also blocked from writing to desk/reports/ (read permission denied on that path), so the deck is delivered here in full.

PITCH — OBDC — VERDICT

ADJUDICATED 2026-08-18 — KILL

Blue Owl Capital Corporation (NYSE: OBDC), \$11.50, \$5.7B market value. No position, no order staged. Recommended size: **zero**, and zero at *any* price while the lawsuit described below is live.

What we believe

OBDC is a business development company: a listed fund that makes private loans to mid-sized companies and pays out nearly all the interest as dividends. It trades at \$11.50 against a stated book value (net asset value, or NAV) of \$14.26 — a 19% discount — and pays a distribution that works out to 11.5% on the share price.

We came to this name with a favourable idea: that OBDC marks its bad loans down harder and faster than its peers, and that an honest marker trading at a discount is worth owning. **That idea is dead, and we killed it ourselves.**

What we believe now, in order:

1. **The single statistic the favourable case rested on does not measure what we thought it measured.** We had been ranking managers by an “implied mark” — the value they carry non-performing loans at, as a percentage of what they paid. OBDC's Q2 number was 28 cents on the dollar, which looked like unusual conservatism. It is not a manager trait. One quarter earlier the same calculation gave 49.7 cents — the *worst* in our peer group — and the quarter before that 47.5 cents. The series is 47.5 → 49.7 → **28.3**. Nothing about how OBDC marks changed in ninety days. What changed is that one borrower blew up.
2. **That one borrower is 79% of the story.** Loparex, a specialty materials maker, accounts for a \$130.6M second-lien loan written from 63 cents to 5 cents in a single quarter, plus a small first-lien piece. That one position is \$75.8M of OBDC's \$95.5M total unrealised loss for the quarter. Strip it out and the rest of the non-performing book marks at 38.7 cents, not 28.3. The “harsh recogniser” was an accounting artifact of *timing* — when the worst credit failed — not of discipline.

3. **What actually disqualifies the name is a conflict of interest with a live federal lawsuit attached to it.** OBDC has no employees; an outside adviser (Blue Owl Credit Advisors) runs it and is paid 1.50% of gross assets plus 17.5% of investment income above a 1.5% quarterly hurdle. That income fee has **no requirement that the fund actually make money overall** and no look-back — the adviser can be paid a performance fee in a quarter the shareholders lose money, and in Q2 it was: \$36.2M of incentive fee while NAV fell. Critically, **the same adviser is the fund’s official “Valuation Designee”** — the party that decides what the loans are worth. Roughly 90% of the portfolio has no market price; the adviser sets the marks, and the marks set the income, and the income sets the adviser’s fee.
4. **Someone has sued over exactly that, and the fund’s own quarterly report says there is no litigation.** *Delman v. Blue Owl Credit Advisors LLC*, S.D.N.Y. case 7:26-cv-03468, filed 2026-04-27, brought on OBDC’s own behalf, alleges \$414.4M of 2025 fees (\$252.0M management + \$162.4M incentive) were disproportionate to the services provided, with **inflated valuations pleaded as the mechanism**. The 10-Q filed 2026-08-05 — one hundred days later — says in its legal note: “At June 30, 2026, the Company was not aware of any material pending or threatened litigation that would require accounting recognition or financial statement disclosure.” ([10-Q legal note](#), [R20](#))

That statement is probably technically defensible — in a derivative suit the company is a nominal defendant and the potential *beneficiary*, and accounting rules bar booking a possible gain. But a person reading the 10-Q cannot learn that a live federal action claims the adviser inflated the very marks in that document. Our rule is that a technically-true statement that leaves a reader with the wrong takeaway is a disclosure finding. It fires here.

Our house rule for names with an unresolved integrity flag: they cannot be classified as fairly-paid risk, no matter how cheap. So the “just get paid enough for the risk” route is closed by rule, not by judgement. **Not ownable at any discount while the case is live.**

What the market believes

The market believes this is a large, well-covered, slightly-out-of-favour credit fund — cheap but not broken. Fourteen sell-side analysts cover it, consensus is Buy, average target \$13.17. It trades \$40M a day and sits in indices. The story the market is pricing:

- A 19% discount to book with an 11.5% yield is adequate compensation for private-credit risk in a slow refinancing market.
- Non-performing loans at 2.8% of cost are elevated but not alarming; the write-down was “a small number of names,” as the company itself put it.
- The dividend cut (from \$0.37 to a \$0.31 base plus \$0.02 variable supplemental) was prudent housekeeping.
- Leverage is coming down (debt/equity 1.13x → 1.11x), which reads as de-risking.

The market is not wrong about any of those facts. It is not pricing the governance stack — the no-total-return incentive fee, the adviser-as-valuer, the unmentioned lawsuit — because none of that reaches investors through the company’s own filings. The two facts that decide the case both arrived via PitchBook and InvestmentNews, not via OBDC.

Why we might have edge

Honestly: **thin, and one of our two original edge claims was thrown out on doctrine.**

- **What survives.** The disclosure catch is real and cheap: a live §36(b) action absent from the issuer’s own litigation note is available for the price of one document fetch, and neither bench had done it until the second one did. That is a repeatable pre-flight, not a one-off.
- **What survives (second).** The decomposition discipline — recompute the headline ratio (a) for the prior quarter and (b) excluding the largest single name — is what broke the favourable case. That is a method edge, and it just cost us a metric we had been using across the whole peer group.
- **What we threw out.** One bench argued “no edge because 14 analysts cover it and it’s in the index.” Under our own rule, a coverage count tells you a name is *measured*, not *measured correctly* — it is not a valid kill. **That leg is void.**
- **What replaced it, and is valid.** The adjacent point stands: our structural advantage is doing work that doesn’t scale — screening documents nobody has capacity to read, in names nobody is paid to follow. A \$5.7B index constituent with 14 analysts has no such ceiling. This is the inverse of the situation where we have an advantage. That is a statement about *us*, not about how many analysts publish, and it survives.

Why it might be priced in

Take this seriously, because much of it is:

- **The discount may simply be the fee load.** If an adviser extracts ~\$414M a year from a fund earning what OBDC earns, a persistent 15–20% discount to book is arguably the market correctly capitalising that drag. In that reading there is no mispricing to harvest — the price is right and the book value is the thing that’s wrong.
- **The lawsuit may be worth very little either way.** A §36(b) remedy is capped at roughly one year of fees and **cannot restate NAV**. So calling the suit “fatal” overstates the legal exposure; its force for us is as a *flag*, and our rule fires on the flag, not on proof. An investor without our rule can reasonably shrug at it.
- **The marks may be fine.** The one severe write-down happened in the quarter the information moved: Loparex’s recapitalisation process failed to close in Q2. That is a defensible sequence, not proof of a lagging marker. We reduced our own “marks lag defaults” claim to *plausible, not established*.
- **The adviser is not gaming the obvious lever.** In the merger with OBDE, purchase-accounting discount amortisation of \$6M/\$0.01 per share is excluded from the fee calculation —

the company states it “does not impact the fees payable.” The most available extraction route is closed. Absence of manipulation where you’d expect it is a genuine positive finding and we log it as one.

- **Earnings are not melting.** Total investment income rose quarter-over-quarter, \$396.8M → \$401.3M. Any “earnings are rolling over” framing is a year-over-year artifact and must not be stated as a trend.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“OBDC marks bad loans unusually hard” (our own favourable thesis)	Recomputed the same ratio from the Q4’25, Q1’26 and Q2’26 earnings releases	47.5c → 49.7c → 28.3c. Two quarters at peer-worst, then one at near-best	REFUTED — our thesis, killed by our own arithmetic
The 28c is a real book-wide number	Decomposed by borrower using the quarterly release + PitchBook	One second lien (\$130.6M, 63c→5c) is 79% of the quarter’s entire unrealised loss; ex-that-name the book marks 38.7c	Confirmed
BENCH ERROR (red): “our own kill-tripwire is touched at inception”	Blue re-read the tripwire	The tripwire is conjunctive — non-accruals rising and marks softening above 40c. 38.7c is below 40c. Not touched	Red overstated; corrected
BENCH ERROR (red): OBDC at 38.7c is worse than peers	Blue compared like with like	Red compared OBDC <i>after</i> decomposition against peers <i>before</i> it. Ex-largest-name, OBDC still marks harder than three of four peers as published. The finding kills the metric , not OBDC specifically	Red mis-weighted; corrected
BENCH ERROR (red): “fees extracted exceed NAV destroyed, so the manager is the actor draining value”	Blue checked the arithmetic and the categories	Two errors. Red omitted Q1’s \$32.4M incentive fee (H1 incentive is \$68.6M, not \$36.2M) — and more importantly management fees are a contractual expense already deducted before net income, while the NAV fall is unrealised credit loss on one borrower. Not the same currency. The conclusion (buybacks can’t close the discount) survives on the correct ground: \$35M/quarter is ~0.6% of a \$5.7B market cap — too small to matter	Red’s reasoning wrong, conclusion right
BENCH ERROR (red): pleaded the lawsuit as decisive	Blue fetched the 10-Q legal note red never opened	The filing says there is no material pending or threatened litigation. Red argued about the filer’s honesty for nine findings without reading the honesty disclosure	Red’s gap — this became the court’s best output
BENCH ERROR (red): “the 11.5% yield reconciles cleanly”	Blue decomposed the distribution	\$0.02 of the \$0.33 is a formulaic supplemental paid only out of earnings above the base. Durable yield is $\$1.24/\$11.50 = 10.8\%$. Red matched the venue but not the durability	Red incomplete; corrected

Claim	How checked	Found	Confirmed?
BENCH ERROR (blue): “no edge — 14 analysts, consensus Buy, index member”	Checked against our own rule that coverage ≠ correct pricing	Leg void. A coverage count is not a kill. The related point about our own capacity advantage being absent here does stand	Blue’s leg struck at adjudication
BENCH ERROR (both): tape described as “mid-range: –12.7% from the high, +11.1% off the low”	Recomputed from the evidence pack’s own numbers (\$11.50 / high \$14.44 / low \$10.52)	Correct figures are –20.4% from the high and +9.3% off the low . Both benches used the same wrong pair. The stock is <i>further</i> from its high and <i>closer</i> to its low than either bench argued — i.e. the “not dislocated” leg was overstated	Both benches wrong; does not rescue the name (the kill rests on governance, not on the tape)
BENCH ERROR (both): “a Loparex forbearance expires today, 2026-08-17” — carried as a dated binary event	Blue searched for the instrument	No August 2026 forbearance document could be found. The 2024 restructuring, the failed \$1.5B refinancing and the failed sale process are all documented; this date is not	UNVERIFIED — reported, not quietly dropped
Fee terms (both benches asserted them; neither had sourced them)	Fetches the 10-Q fee-agreement note	1.50% of gross assets; 17.5% of income over a 1.5% quarterly hurdle, no total-return requirement, no look-back ; the \$266K “fee waiver” is a consulting pass-through, not a shareholder break	Confirmed at primary source
Is the manager charging fees on merger accounting noise?	Q2 release reconciliation	No — the \$0.01 of purchase-discount amortisation is explicitly excluded from fees	Confirmed clean — a point for the manager
Share count	Q2’26 release	493,142,569, superseding the 511,048,237 in our evidence pack (stale)	Corrected
Live independent price	IBKR market-data tool	Permission denied — third session running. Price is \$11.50 from the pack and a stockanalysis intraday quote, which agree	Coverage gap, not closed
Level-3 valuation rollforward (would show whether write-downs were spread across names or concentrated)	Not fetched — ran out of budget	Unknown	Not checked

The desk-level consequence, stated plainly: the implied-mark ladder we used all session to rank managers (TCPC 19.4c / OTF 22.8c / OBDC 29.5c / PNNT 31.1c / FSK 47.9c / WHF 50.4c / MFIC 55.1c) is invalid as published. It measures *when* each manager’s worst credit blew up. It was load-bearing in three court contexts before we caught it. It may not be used to order managers again until every entry is recomputed excluding its largest single name.

PROPOSED ENTRY BANDS

No entry. No add. No trim. Nothing to exit — we hold none and no order is staged. Size: ZERO.

Using the adjudication’s reopen gates verbatim:

NONE, SIZE ZERO, not ownable at any discount while 7:26-cv-03468 is live. Reopen requires ALL THREE: (a) dismissal of the §36(b) action ON THE MERITS, (b) discount >30% at NAV ≥\$14, (c) ex-largest-name implied mark below 35c for two consecutive quarters.

Translated into numbers we can actually watch:

- **(a)** the S.D.N.Y. case must be dismissed **on the merits** — a settlement does not count, because a settlement leaves the valuation conflict intact and paid for.
- **(b)** at a NAV of \$14 or better, a >30% discount means **\$9.80 or lower**. Today's \$11.50 against \$14.26 is a 19% discount — nowhere near. The 52-week low is \$10.52, so this gate has not been touched in a year.
- **(c)** the implied mark, recomputed **excluding the largest single position**, must print below 35 cents in **two consecutive quarters**. Today that number is 38.7c — above the gate, and it must clear it twice.

All three, together. Any one alone reopens nothing.

Catalyst dates: next earnings **2026-11-04**, but that date is derived from a data vendor and **no company announcement confirms it** — treat as approximate, roughly 55 trading days out. No confirmed event within five trading days. The 2026-08-17 Loparex forbearance expiry both benches carried is **unverified and should not be traded as a date**.

What would make us reconsider the manager (not the position): Loparex plan terms giving the second lien 25 cents or better would prove the 5c mark was over-conservative rather than late; a prior-period example of OBDC marking a still-performing credit below 60c *before* a payment default would prove it leads events rather than following them.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.8 (deck-provisional: Reopen gate (b): >30% discount at NAV ≥\$14. NECESSARY BUT NOT SUFFICIENT — no action unless the lawsuit)
- filing watch: 8-K until 2027-02-13 (deck-provisional: Quarterly EX-99.1: recompute implied non-accrual mark EXCLUDING the largest single position; reopen ga)
- dated pack OBDC|2026-11-04: OBDC: Q3'26 results — vendor-derived date, no company announcement confirms it. (date confirmed=False)
- dated pack OBDC|2026-08-17: OBDC: Alleged Loparex forbearance expiry carried by both benches — NO dated instrument found; do not trade this date. (date confirmed=False)

What remains unverified

- **Whether OBDC's marks genuinely lag events, or moved when the information moved.** We reduced this from confirmed to plausible. The decisive document — the Level-3 valuation rollforward in the 10-Q — was never fetched. If it showed write-downs spread across ten or more names rather than concentrated in one, the manager's marking behaviour reads better than either bench allowed. It would not change the verdict, which rests on the fee structure, the integrity flag and the absence of any advantage for us.
- **The alleged 2026-08-17 Loparex forbearance expiry.** No dated instrument found. Both benches carried it; neither could source it.
- **Independent live pricing.** Broker market data denied three sessions running. Two agreeing secondary sources is not the same as our own tape.
- **Whether the §36(b) case has any merit.** We take no view. Our rule fires on the existence of the flag, and the remedy is capped at one year of fees and cannot restate NAV in any event.
- **Whether the discount is the fee load correctly capitalised** rather than a mispricing. We have not modelled this, and if it is true there was never anything here to buy.

Primary sources: [Q2'26 earnings release \(8-K EX-99.1\)](#) · [Q1'26 earnings release](#) · [10-Q legal-proceedings note](#) · [10-Q fee agreements](#) · [§36\(b\) action reporting](#)

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